

Japan Quant & Fundamental Tech Strategy

Japan Tech Strategy 3Q26: Tech leadership to broaden out...selectively rotate



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The Japan tech sector has had a strong start to the year, up 14% on equal-weighted and 60% on cap-weighted basis, ie. dominated by large-caps. In this report, we collaborate with our fundamental analysts to present opportunities from here.

Top-down view: The sector looks reasonable on an earnings multiple, trading at 18.2x fwd. PE i.e. -0.2SD below 10yr avg; but trading at a record high revenue multiple (2.5x PS). The earnings expectations for the sector are now at record high, though relative to market there is still room for upward revisions to continue. In 1H26, sub-sector dispersion has been high with Semis, Factory Automation and Electronic Equipment outperforming sharply while IT Services, Software and Entertainment lagging. The winning sub-sectors are becoming increasingly vulnerable given elevated valuations and extreme bullish sentiment while losing sub-sectors like IT Services, Software and Entertainment have fallen to attractive valuations, extreme downgrades and low crowding. July has seen strong intra-sector rotation, and we believe that has legs, though more selectively given there has not been clear inflection in either valuation or earnings. Factor-wise, Momentum and GARP have been the only styles generating alpha in 2026, while Quality and Low Volatility have underperformed sharply. Although momentum remains supported by earnings strength and reasonable valuations (unlike [the valuation bubble in Asia ex China Tech](#)), revisions are reaching extreme levels, increasing reversal risk. We believe the underperformance of high yield is inconsistent with supportive valuations and robust upgrades. Hence, we recommend being more selective on momentum exposure from here while looking for opportunities within the laggard space, especially focusing on stocks where earnings momentum is improving. Interestingly, the intra-sector dispersion is not as extreme as in Asia ex Japan tech sector, however the high correlation between AI/tech trade in the region is likely to create similar rotation pressure. **We show our updated screens in Exhibit 18-Exhibit 19.** For our Asia Tech screens, see - [Asia Tech Strategy 3Q26](#).

Japan Semis: The sector has corrected sharply after a strong rally especially those who benefit from AI narrative. The AI demand drives up capex expectations on memory and advanced logic, and benefits both front and backend equipment names alike. We prefer equipment names given the secular capex cycle for DRAM, advanced logic, and China capex. **TEL, Kokusai and Screen** also benefit from price hikes and margin expansion, while DISCO and Advantest benefit from the structural backend adoption, and **Lasertec** from Intel capex and EUV penetration. We like **Renesas (Outperform)** as [we are constructive on power semis given the rise of AI power demand](#). **Ibiden (Outperform)** and **Hoya (Outperform)** remain backed by solid fundamentals, with [Ibiden supported by CPU demand amid an ABF supply-demand shortage over 2027-28](#), and Hoya by strong EUV blank and HDD substrate demand, alongside growing focus on future pricing upside. **SoftBank (Outperform)** is another beneficiary of [the CPU upcycle through its ownership of Arm](#). **Sumco (Market-Perform)** is mainly geared to potential price hikes from Chinese vendors, while the narrative may gradually shift toward a [raw wafer shortage next year, which is not our base case given China supply](#) but is helping the stock in the short term. **[continued]...**

...[continued]

Japan Video Gaming: The recent rally in Japan Video Gaming stocks coincided with the detonation of extreme semis sentiment and positioning, but was overdue in our view, with valuations falling to multi-year lows. Capcom has one of the strongest new game line-ups for 2027, and we're hopeful the GTA VI release in November will be a clearing event as far as capital allocation within global video gaming is concerned. Konami will likely scale back monetisation after the World Cup, but should also continue to grow earnings meaningfully ahead of street expectations.

Japan Factory Automation: 2025 was the year of inflection, as global factory automation demand returned to growth. 2026 is the year of acceleration. We forecast global factory automation demand to grow double-digit in 2026, driven by acceleration in U.S. and Europe, improvement in Japan, as well as continued strength in China. Despite the negative impacts arising from the recent relapse of the conflict in the Middle East, which remains a macro risk, we expect this headwind to gradually mitigate. With reduced trade policy uncertainty, the gradual release of pent-up CAPEX demand since 2024 is expected to result in an elongated upcycle with normal peak growth rate. Our top pick remains Keyence. Following the 4Q FY3/26 results, Street expectations have increased significantly, although they remain 6% below our estimates for FY3/27 EPS. In our view, both the valuation and current Street expectations are in favor of Keyence. Looking ahead, we believe the key catalyst for further re-rating will be accelerating revenue growth, which we expect to peak at 25% YoY in the December-2026 quarter.

BERNSTEIN TICKER TABLE

Ticker	Rating	17 Jul 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
6954.JP (Fanuc)	O	JPY	6,637.00	7,000.00	33.9%	JPY	178.47	207.32	193.15	37.2	32.0	34.4
6273.JP (SMC)	O	JPY	69,230	78,000	(1.7)%	JPY	2,640.86	2,975.39	3,256.00	26.2	23.3	21.3
6861.JP (Keyence)	O	JPY	70,880	86,000	(12.9)%	JPY	1,835.63	2,248.48	2,494.78	38.6	31.5	28.4
6324.JP (HDSI)	O	JPY	6,470.00	7,800.00	106.2%	JPY	16.99	57.37	79.51	380.8	112.8	81.4
6857.JP (Advantest)	O	JPY	27,505	39,200	105.6%	JPY	514.52	735.65	870.09	53.5	37.4	31.6
6146.JP (DISCO)	O	JPY	64,780	85,000	10.9%	JPY	1,246.28	1,733.62	2,127.33	52.0	37.4	30.5
6920.JP (Lasertec)	O	JPY	41,890	50,000	99.4%	JPY	937.82	893.18	976.61	44.7	46.9	42.9
8035.JP (Tokyo Electron)	O	JPY	65,100	59,200	93.4%	JPY	1,250.88	1,504.14	1,848.77	52.0	43.3	35.2
6525.JP (Kokusai)	O	JPY	8,801.00	8,240.00	123.1%	JPY	128.63	200.23	260.07	68.4	44.0	33.8
7735.JP (Screen)	M	JPY	16,510	12,600	134.6%	JPY	486.61	572.60	662.24	33.9	28.8	24.9
SONY (Sony)	M	USD	21.12	22.00	(27.9)%	USD	1.08	1.25	1.30	19.6	16.9	16.2
6758.JP (Sony)	M	JPY	3,470.00	3,500.00	(39.6)%	JPY	171.30	198.75	207.66	20.3	17.5	16.7
6723.JP (Renesas)	O	JPY	3,822.00	6,300.00	60.2%	JPY	181.61	244.76	298.54	21.0	15.6	12.8
7741.JP (Hoya)	O	JPY	25,215	33,100	(2.7)%	JPY	744.42	802.89	946.43	33.9	31.4	26.6
4062.JP (Ibiden)	O	JPY	15,685	23,900	358.6%	JPY	214.91	259.64	411.19	73.0	60.4	38.1
3436.JP (SUMCO)	M	JPY	3,914.00	3,190.00	186.7%	JPY	(33.61)	(57.32)	47.60	(116.5)	(68.3)	82.2
9984.JP (SoftBank)	O	JPY	5,424.00	11,200	52.9%	JPY	872.47	282.49	159.10	6.2	19.2	34.1
9697.JP (Capcom)	O	JPY	3,412.00	4,600.00	(63.9)%	JPY	115.85	130.50	153.47	29.5	26.1	22.2
7974.JP (Nintendo)	O	JPY	7,294.00	10,300	(84.1)%	JPY	364.51	350.74	423.85	20.0	20.8	17.2
9766.JP (Konami)	O	JPY	18,875	26,800	(48.9)%	JPY	551.00	737.79	896.16	34.3	25.6	21.1
9684.JP (Square Enix)	M	JPY	2,551.00	2,550.00	(64.9)%	JPY	82.08	106.81	121.75	31.1	23.9	21.0
7832.JP (Bandai Namco)	M	JPY	4,189.00	4,700.00	(48.2)%	JPY	217.49	206.36	223.90	19.3	20.3	18.7
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JPL			2,545.21									
SPX			7,457.69									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

6723.JP, 9984.JP estimate is Adjusted EPS; 6723.JP, 9984.JP valuation is Adjusted P/E (x); 6954.JP, 6273.JP, 6861.JP, 7974.JP, 9684.JP, 7832.JP base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Japan Factory Automation: Keyence Outperform with PT = ¥86,000; FANUC Outperform with PT = ¥7,000; Harmonic Drive Outperform with PT = ¥7,800; SMC Outperform with PT = ¥78,000;

Japan Semis: Kokusai: Outperform, PT=¥8,240.00; Tokyo Electron: Outperform, PT=¥59,200; DISCO: Outperform, PT=¥85,000; Advantest: Outperform, PT=¥39,200; Screen: Market-Perform, PT=¥12,600; Lasertec: Outperform, PT=¥50,000; Renesas: Outperform, PT=¥6,300.00; Hoya: Outperform, PT=¥33,100; Ibiden: Outperform, PT=¥23,900; SoftBank: Outperform, PT = ¥11,200; SUMCO: Market-Perform, PT=¥3,190.00;

Japan Gaming: Sony Market-Perform, PT=¥3,500.00; Nintendo Outperform with PT=¥ 10300; Capcom Outperform with PT=¥ 4,600; Bandai Market-Perform with PT=¥ 4,700; Konami Outperform with PT=¥ 26,800; Square Enix Market-Perform with PT=¥ 2,550

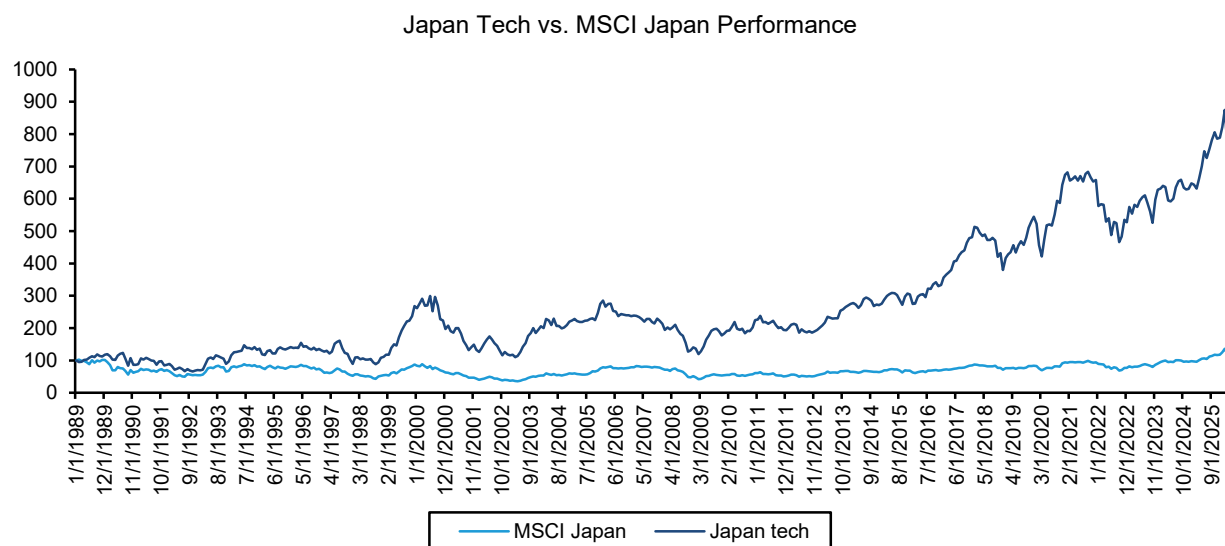
DETAILS

Some historical context-Over the long-term, the Japan tech sector has been a big source of alpha - since 1989 Japan tech has delivered 6% CAGR vs. 0.8% by the market (in dollar terms). The sector has done well even in recent times, generating 13% CAGR since COVID bottom compared to the broader market which has given 11% annualized returns. The historical consistency has been strong as the sector has generated positive returns in 8 out of the last 10yrs, with double-digit returns in 7 yrs. 2017 (+50%), 2019 (+52%) and 2020 (+46%) were outstanding years for Japan tech followed by 2025 at 45%. (Exhibit 1)

Japan tech sector has shown good momentum in 2026 so far and is up 14% on equal-weighted basis and 60% on cap-weighted basis, ie. large-caps have continued to dominate. The divergence within the sector has been sharp - Semiconductors, Factory Automation and Electronic Equipment have done well in both Q1 and Q2 while IT Services, Software and Entertainment names have been under tremendous pressure. Semiconductors was the best performing sub-sector within Japan tech with 74% alpha, which is largely attributed to Q2 outperformance of 54%. Factory Automation Equipment generated +56% relative outperformance in 1H26 led by 44% alpha in Q2. Electronic Equipment takes the third place, seeing relative performance of +5% in Q1 and +26% in Q2 2026. Sub-sectors like Entertainment, Software and IT services have underperformed the market in 2026, due to weak earnings support. In July, sub-sector rotation happened where laggard sub-sectors (Software +14%, IT Services +15% and Entertainment +11%) outperformed while winning sectors start to underperform. YTD, among the top 10 largest names, KIOXIA (729%) has had a phenomenal run followed by Murata (+241%), Tokyo Electron (+118%) and Renesas (+118%) while Sony, Nintendo have all been down -21% and -37% respectively.(Exhibit 2-Exhibit 4)

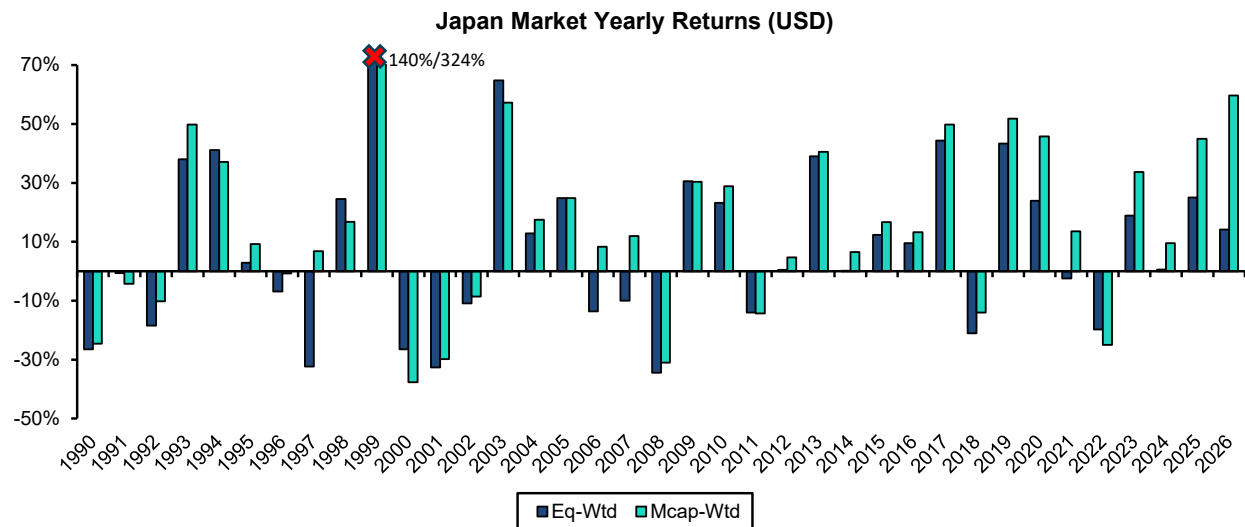
In this note, we join hands with our fundamental tech analysts in Japan to highlight the opportunities going forward. *We define Japan tech universe as the combination of stocks within Technology sector, stocks within Entertainment industry as well as stocks within Factory Automation Equipment sub-industry.*

EXHIBIT 1: Japan tech sector has been a big source of alpha over the long-term. Since 1989, the sector has generated 6%CAGR vs. 0.8% by the market. Since 2010, tech sector has delivered 9%CAGR vs. 5% by market



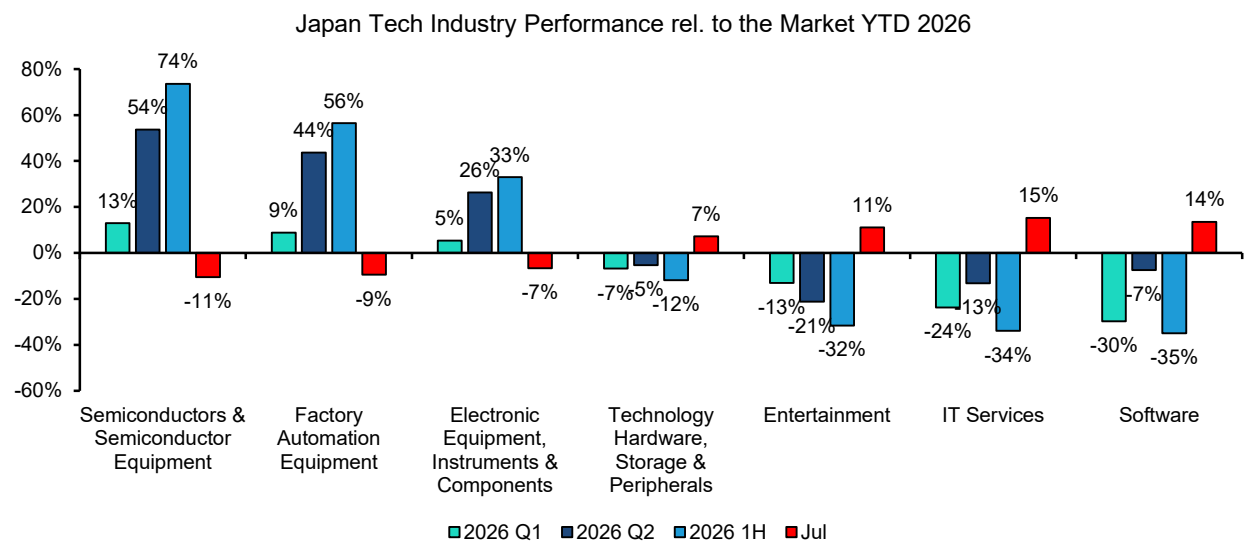
Returns are in USD. Data till Jun 30th 2026
Source: Bloomberg, MSCI, FactSet, Bernstein analysis

EXHIBIT 2: In 1H26, the sector was up +14% on equal-weighted basis and +60% on cap-weighted basis vs. the market, up +15%



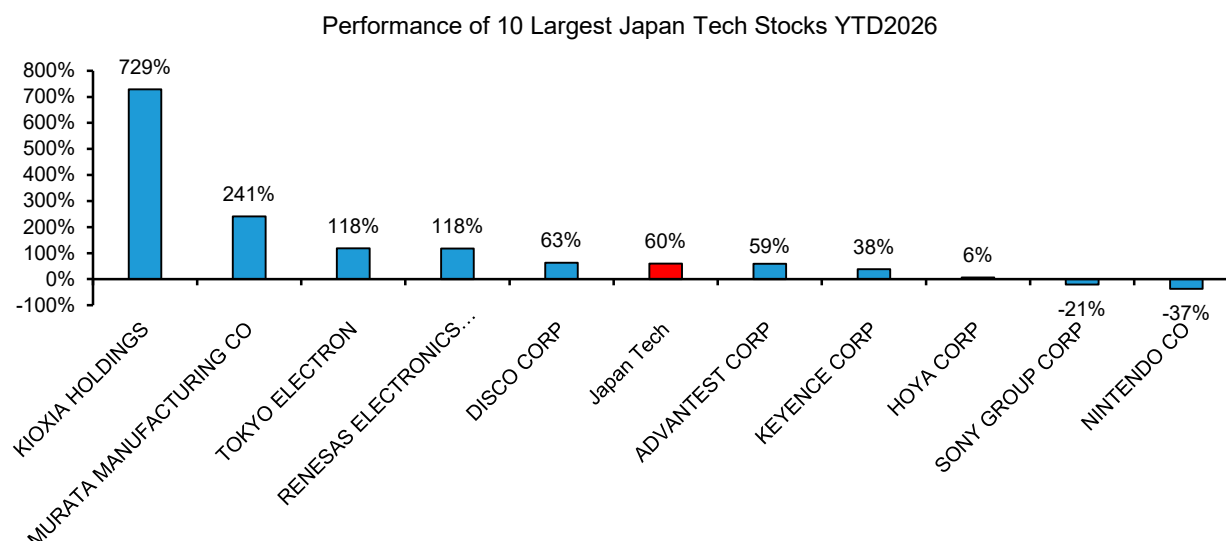
Data til Jun 30th 2026. Returns are in USD
Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 3: In 1H26, Semis, Factory automation and Electronic Equipment have been the best performing sub-sectors, including Q1 and Q2. While IT Services and Software have been the worst performing sub-sectors. Jul saw sub-sector rotation happen where laggard sub-sectors (Software, IT Services and Entertainment) outperformed



Returns are in USD. Performance of all sub sectors are relative to MSCI APX Index (Market Cap weighted). Data till Jul 17th 2026
Source: Bloomberg, MSCI, FactSet, Bernstein analysis

EXHIBIT 4: YTD, among the top 10 largest names, KIOXIA (729%) led followed by Murata (+241%), Tokyo Electron (+118%) and Renesas (+118%). Sony, Nintendo have been down -21% and -37% respectively



Returns are in USD. Japan Tech performance is market cap weighted. Data till Jun 30th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

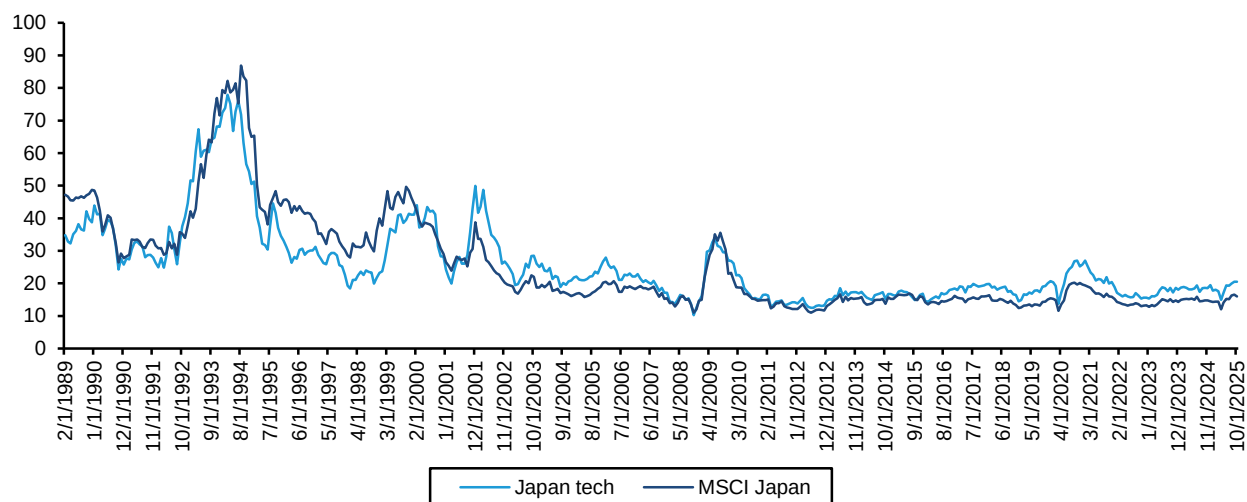
REASONABLE VALUATIONS AND CONTINUED EARNINGS UPGRADE

On PE terms, Japan tech is still cheap, trading at 18.2x fwd ie. -0.2SD below its 10yr average and below average premium to the market (21% vs. 24%). However, on P/S, the sector is expensive, trading at 2.5x PS vs. 1.4x for the market ie. 73% premium (vs. avg. premium of 64%) and at +2.6SD above 5yr average and at +2.9SD above 10yr avg. The expensive tech cohort (top quintile) has seen de-rating and is now trading at an 86% premium to the sector vs. 10yr average of 167% on revenue multiple. Do note, the record high valuations for the expensive tech portfolio was 7.5xPS in 2021, while the cohort is now at 4.6xPS. (Exhibit 5 - Exhibit 6).

Earnings upgrade cycle has been a key support for the sector but it is reaching historical peak. However, relative to market, sector remains in upgrade cycle with room for upward revisions to continue. (Exhibit 7). Overall, the sector looks reasonably valued on earnings but stretched on revenue multiples. While continued upward revisions remains a key support relative to the market; the extreme earnings expectations raise concern of peak upgrade cycle.

EXHIBIT 5: Japan tech is trading at 18.2x PE ie. -0.25D below its 10yr average. It is trading at average premium to the market (21% vs. 24%)

Japan Tech 12m Fwd. PE Valuation

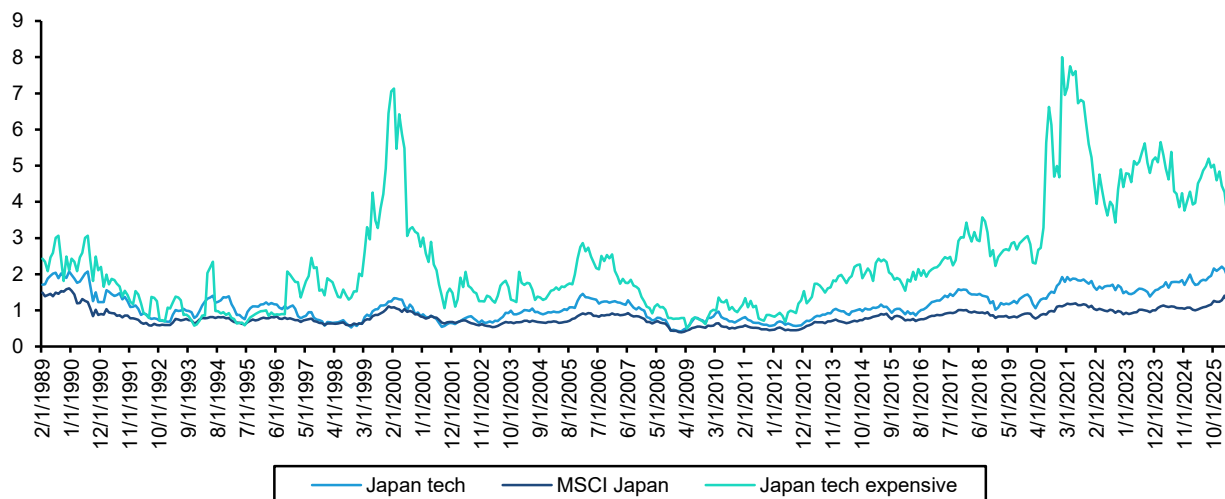


Data till Jun 30th 2026

Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 6: On P/S, the sector is expensive, trading at 2.5x PS ie. +2.6SD above 5yr average and at +2.9SD above 10yr avg. However, relative to the market (1.4x) it is trading at 73% premium which is above avg. premium of 64%

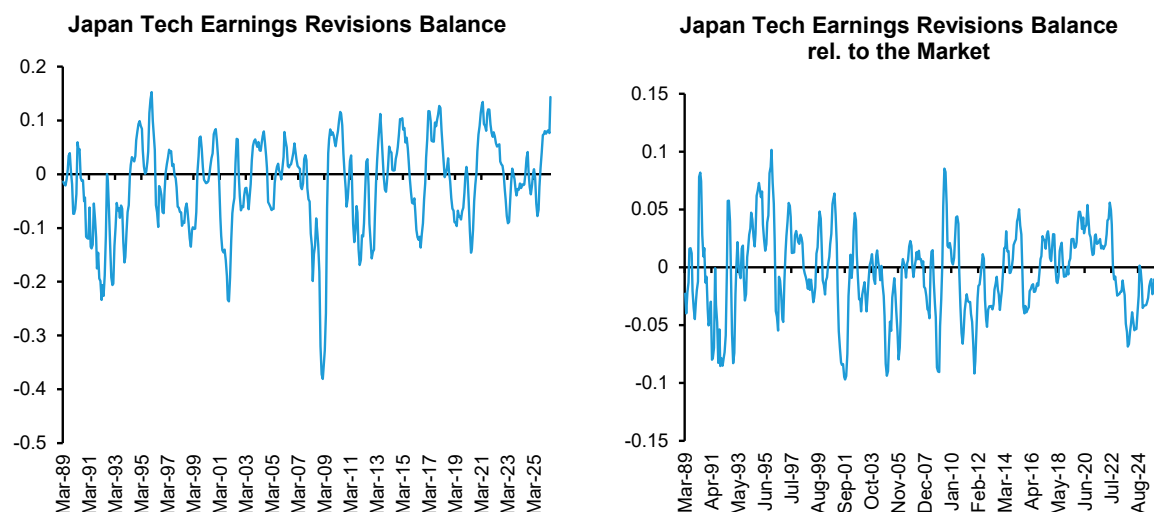
Japan Tech Price/Sale Valuation



Data till Jun 30th 2026

Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 7: Strong upgrade cycle has been a key driver for Japan tech. The earnings expectations now look extreme, though relative to market there is still room for upward revisions to continue



Data till Jun 30th 2026

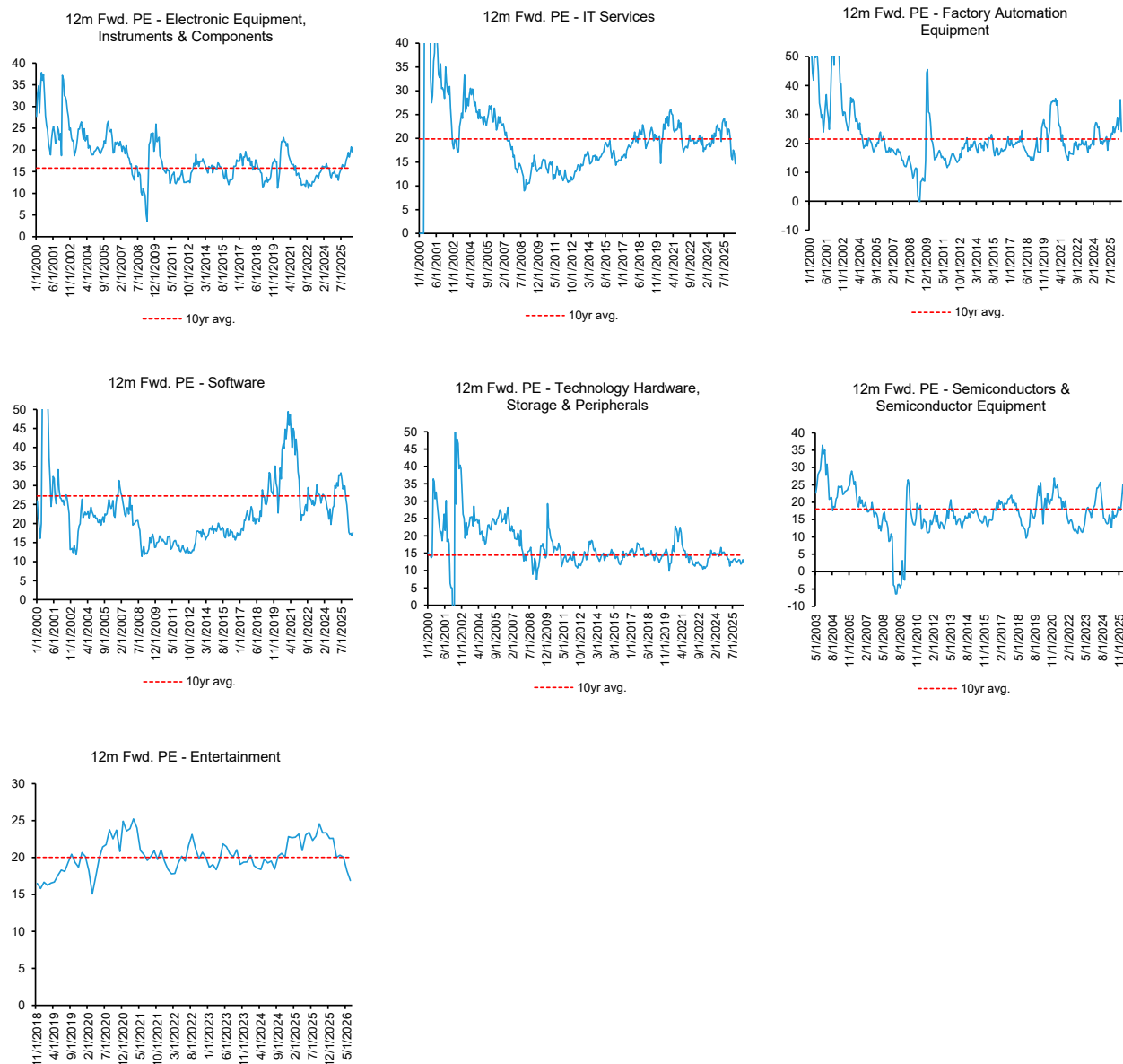
Source: IBES, MSCI, FactSet, Bernstein analysis

SUB-SECTOR LEVEL ANALYSIS - VALUATIONS, EARNINGS, CROWDING

Compared to valuations at end of last quarter, some hot sub-sectors are at extreme valuations. On 12m fwd. PE, Electronic Equipment and Semis are expensive now, trading at +1.4SD/+1.5SD above 10yr mean; though not at extreme. Factory Automation Equipment have peaked in valuations and dropped to +0.5SD level. IT Services saw the biggest de-rating and dropped from +1SD at the end of 2025 to -2SD now. Software/Entertainment/Tech Hardware are also cheap, trading at -1.2/-1/-0.8SD below the 10yr average (Exhibit 8). On Price to Sale, Electronic Equipment, Factory Automation Equipment and Semis are extremely expensive, trading at record high multiple. All other sub-sectors are reasonably valued, especially Entertainment and IT services that has fallen to average valuations and Software which is quite cheap (-0.9SD). (Exhibit 9). Hence, the intra-sector valuation dispersion has widened with winning sub-sectors looking stretched while non-performing sub-sectors falling to attractive valuations. Japan tech sector upgrade cycle was quite broad-based with upward revisions for Electronic Equipment, IT services, Factory automation, Software and Semis. Hence, not just the winning sub-sectors but even the losing sub-sectors ie. IT services and software are seeing upward revisions. However, Tech hardware and Entertainment has been in net downgrade with bearish sentiment towards Entertainment looking extreme. Crowding has been increasing in Electronic Equipment, Factory Automation Equipment and Semis; though not at extreme yet. IT Services, Software and Entertainment have fallen to quite unloved territory(Exhibit 10-Exhibit 11)

Overall, winning sub-sectors such as Electronic equipment, Factory Automation Equipment and Semiconductors are vulnerable due to extreme valuation, record high bullish earnings expectations while some losing sub-sectors such as Entertainment, IT services and Software have the potential to make a comeback due to attractive valuations, potential earnings recovery and poor investor interest. We recommend some intra-sector rotation though selectively as there is no clear inflection on winners vs. losers on earnings or valuations.

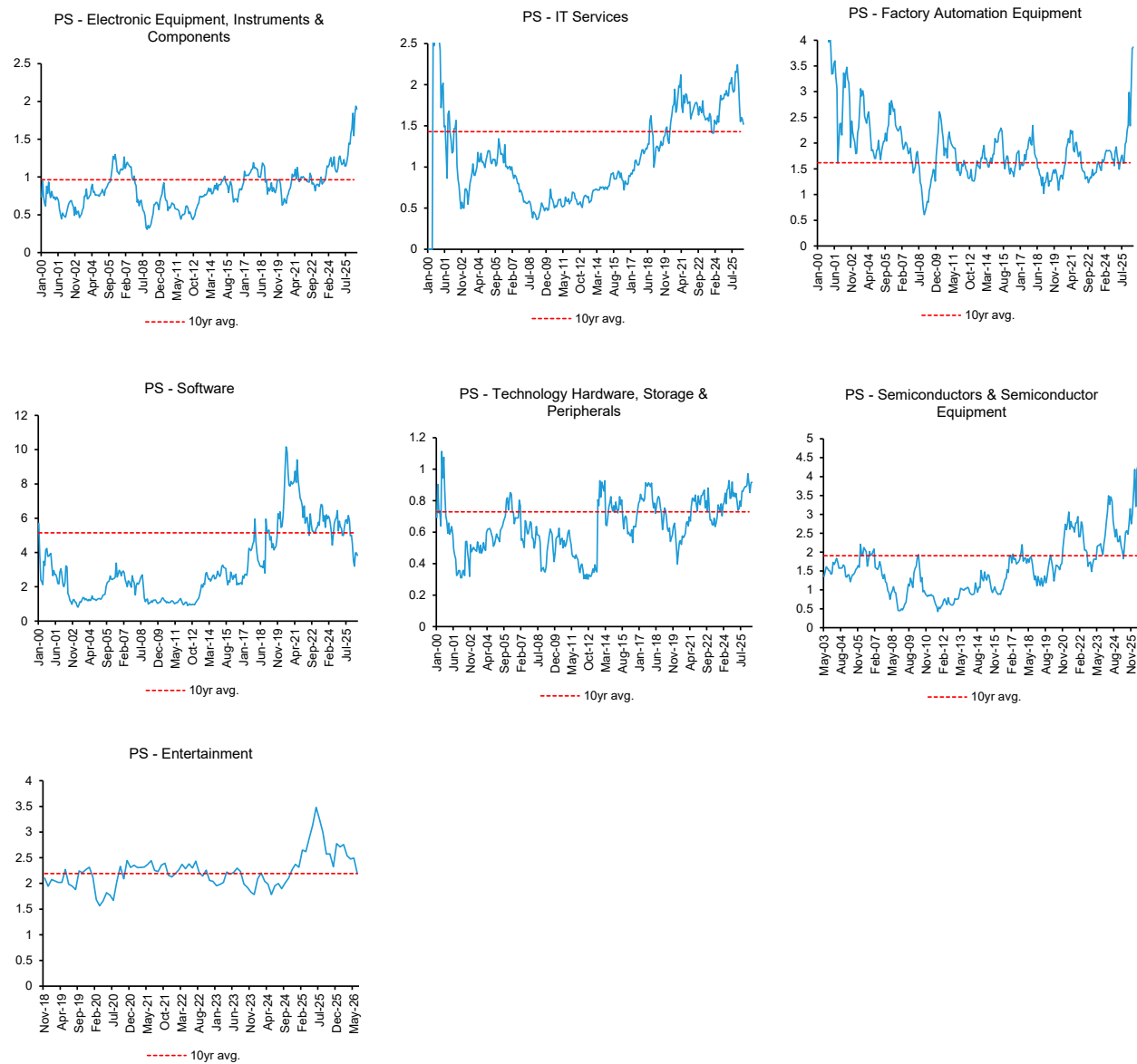
EXHIBIT 8: Electronic Equipment, Semis are expensive but not extreme yet; trading at +1.4SD/+1.5SD above 10yr mean. However, Factory Automation has peaked in valuations, now trading at +0.5SD relative to 10yr average. IT Services saw the biggest de-rating, dropped from +1SD at the end of 2025 to -2SD now. Software/Entertainment/Tech Hardware are also cheap, trading at -1.2/-1/-0.8SD below the 10yr average



Data till Jun 30th 2026

Source: MSCI, FactSet, Bernstein analysis

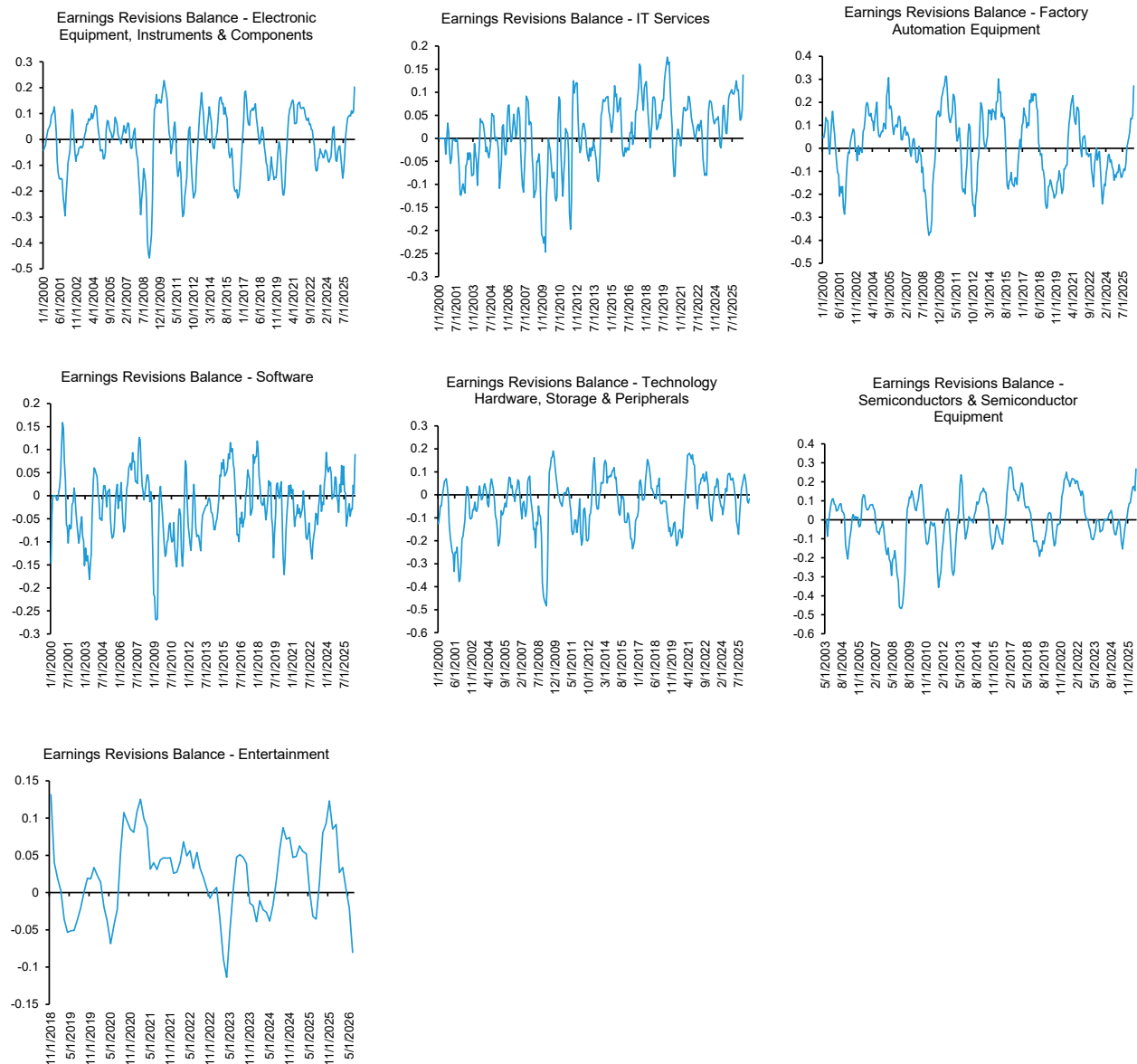
EXHIBIT 9: On Price to Sales, Electronic Equipment, Factory Automation Equipment and Semis are trading at record high valuations while IT Services and Entertainment has fallen near 10yr average and Software has dropped closer to COVID lows



Data till Jun 30th 2026

Source: IBES, MSCI, FactSet, Bernstein analysis

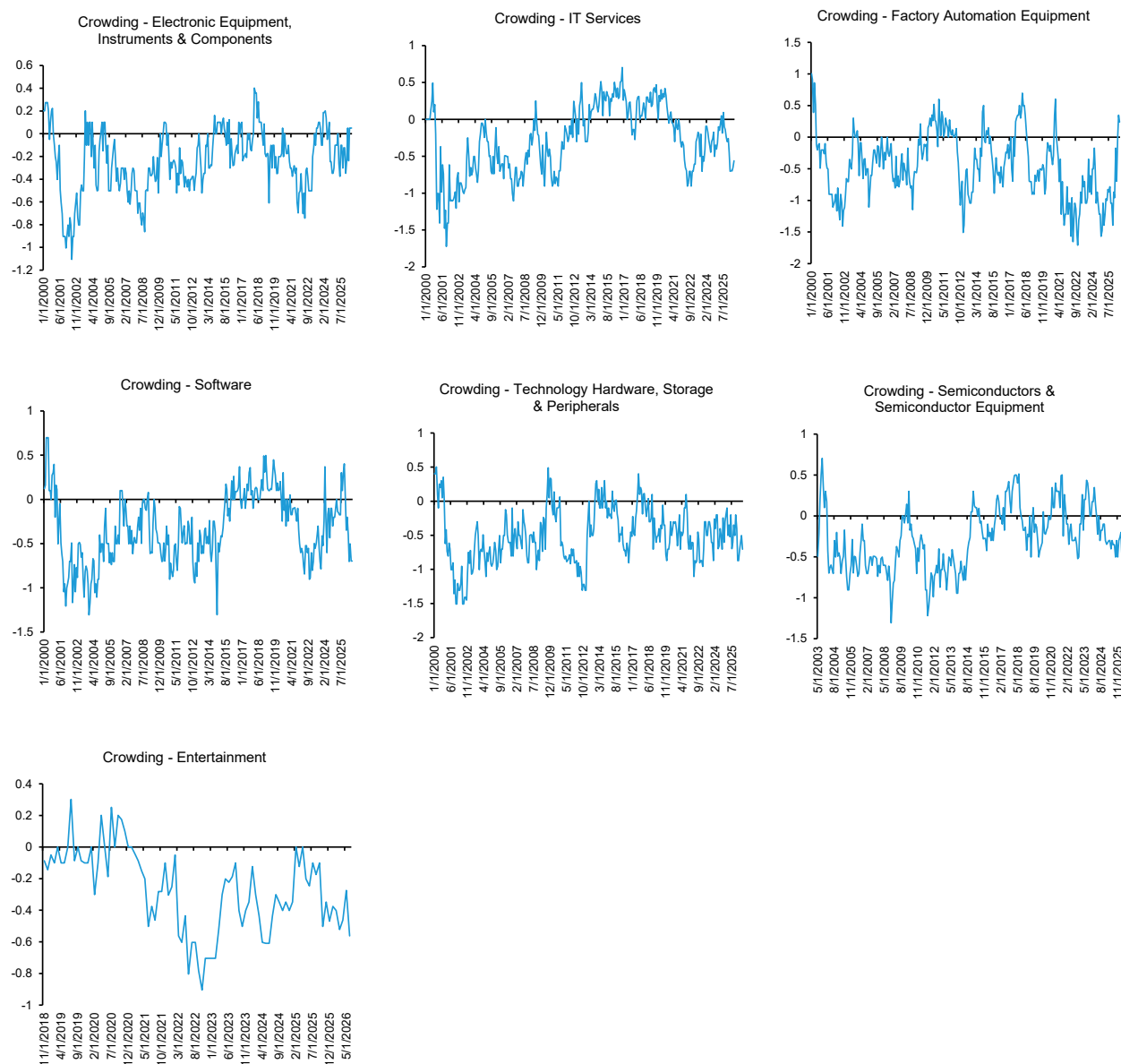
EXHIBIT 10: Electronic equipment, IT Services, Factory Automation Equipment, Software and Semiconductors remain in earnings upgrades cycle (though inching towards record high). Technology Hardware is seeing moderation in earnings while Entertainment is at extreme downgrades.



Data till Jun 30th 2026

Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 11: Crowding has been increasing in Electronic Equipment, Factory Automation Equipment and Semis; though not at extreme yet. IT Services, Software and Entertainment have fallen to quite unloved territory



Data till Jun 30th 2026

Source: IBES, MSCI, FactSet, Bernstein analysis

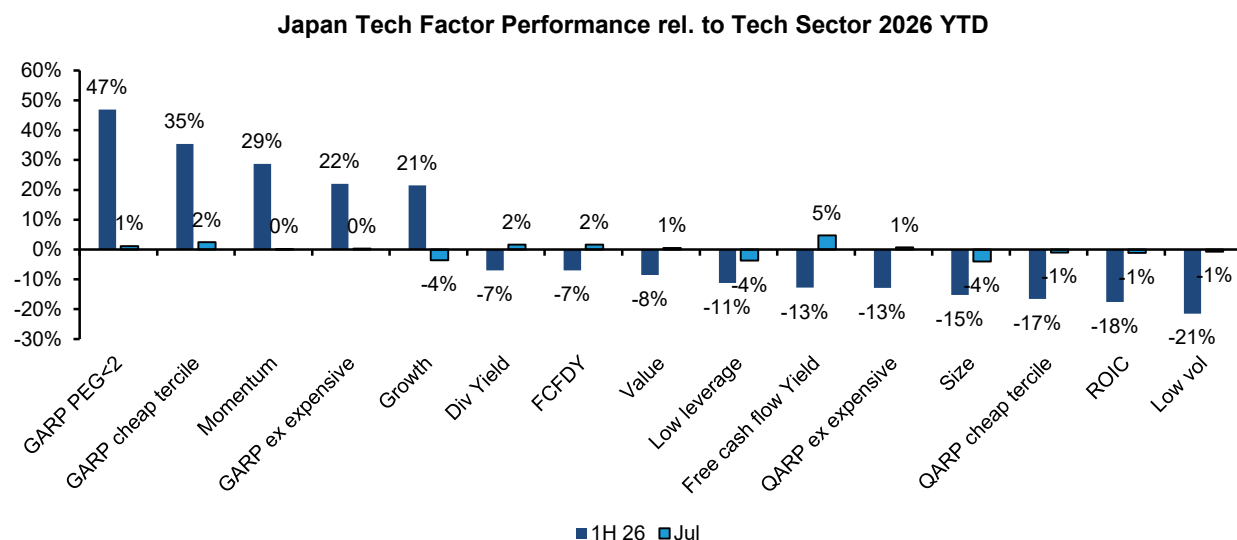
THE FACTOR VIEW WITHIN TECH

1H26, Equal weighted tech sector was up 14% YTD with GARP names leading (35-47% alpha) followed by Momentum with 29% outperformance relative to market. The worst hit styles were quality (-17%) and Low vol (-19%). Till Feb, Japan tech was doing quite well, up 11%, led by high vol (19%), momentum/growth (17%), value (+15%) and high yield (13%). During the war, as expected low vol, high yield, quality were least impacted though even cheap growth names showed similar resilience. Since Q2, momentum (+10%) and GARP (+7) have been the only styles outperforming the market. In Jul, high yield (+5%) outperformed the most, while growth names also outperformed moderately (Exhibit 12).

Combining the performance with the valuations/earnings/crowding aspects - we note that all style portfolios within Japan tech have been in a valuation de-rating cycle, all value/quality portfolios have now dropped below 10yr average. Growth and momentum have seen de-rating but still not cheap though not too stretched either. However, earnings revisions upgrades are

ubiquitous - high yield has been in a strong upgrade cycle and there is still room for upward revisions to continue. The under-performance of quality is not aligning with the attractive valuations and upward earnings revision, however, there is little room for earnings upgrades to continue given it is at historical high. Hence, we are less convinced of an earning led recovery for quality stocks. Momentum and cheap growth stocks have been most resilient since beginning of the year and while valuations are reasonable, earnings upgrades are at record high, except for GARP cheap tercile. Similar to Asia ex Japan tech (see here), the upgrade cycle has not showed a clear peak, hence we recommend being more selective on momentum tech names but adding the laggards, especially the high yielding names where room for upward revisions is still strong. We show factor ranking for our Bernstein coverage tech names in Exhibit 17 and preferred screens of selective momentum and high yield in (Exhibit 18-Exhibit 19).

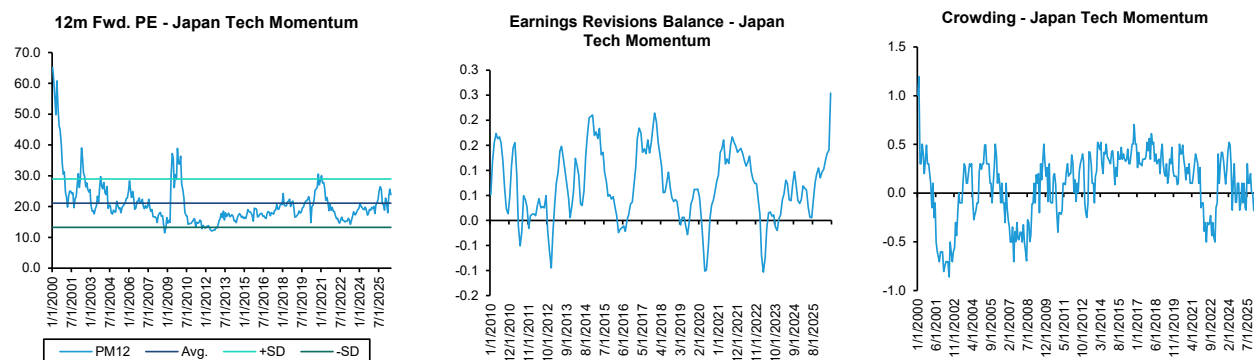
EXHIBIT 12: 1H 2026, GARP (35-47%) led followed by Momentum with 29% relative to market. The rest styles other than momentum and growth have underperformed the market, and ROIC (-18%) and Low vol (-21%) saw the weakest performance. In Jul, high yield (+5%) outperformed the most



Data till Jul 17th 2026

Source: IBES, MSCI, FactSet, Bernstein analysis

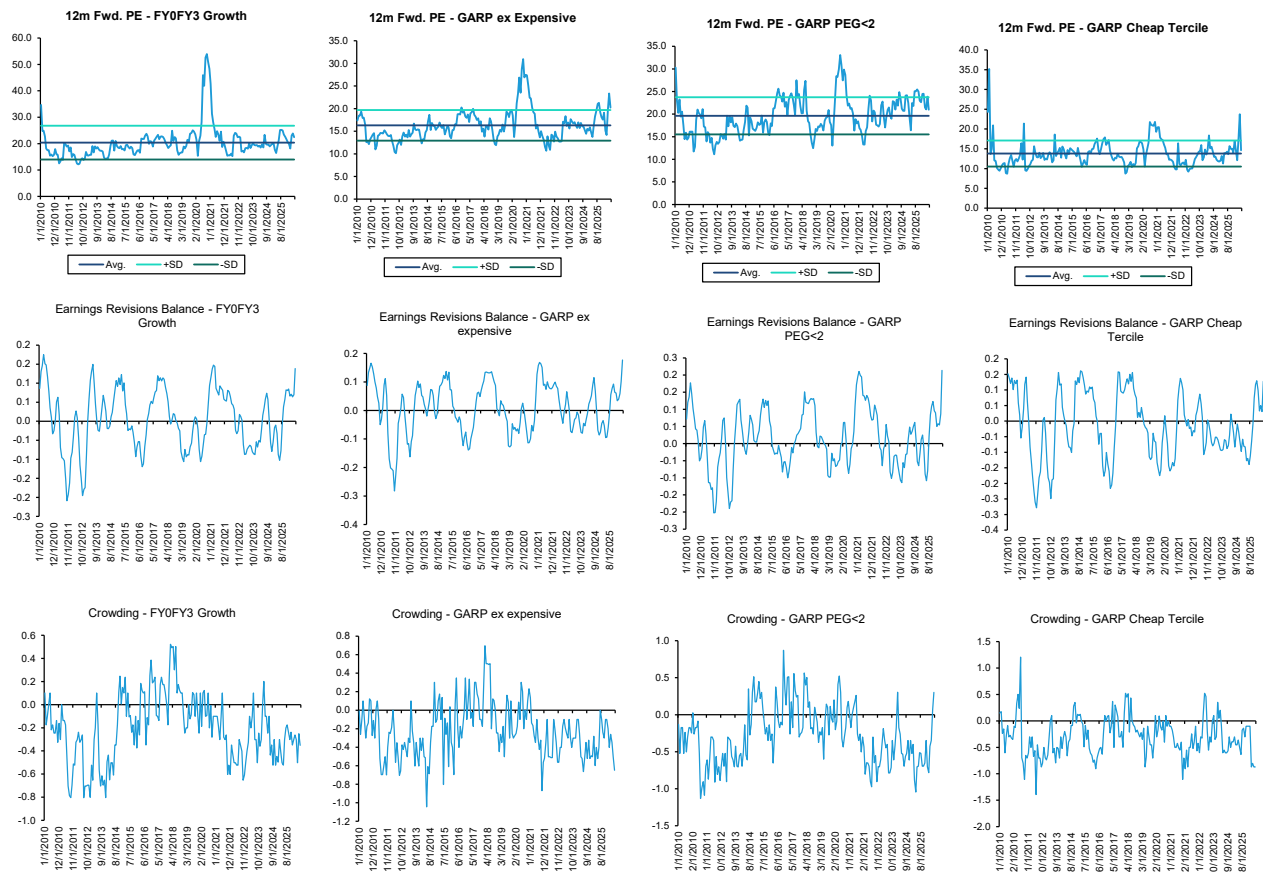
EXHIBIT 13: Japan tech momentum is valued above the mean, seeing upward revisions hitting historical high with increasing crowding level



Data till Jun 30th 2026

Source: IBES, MSCI, FactSet, Bernstein analysis

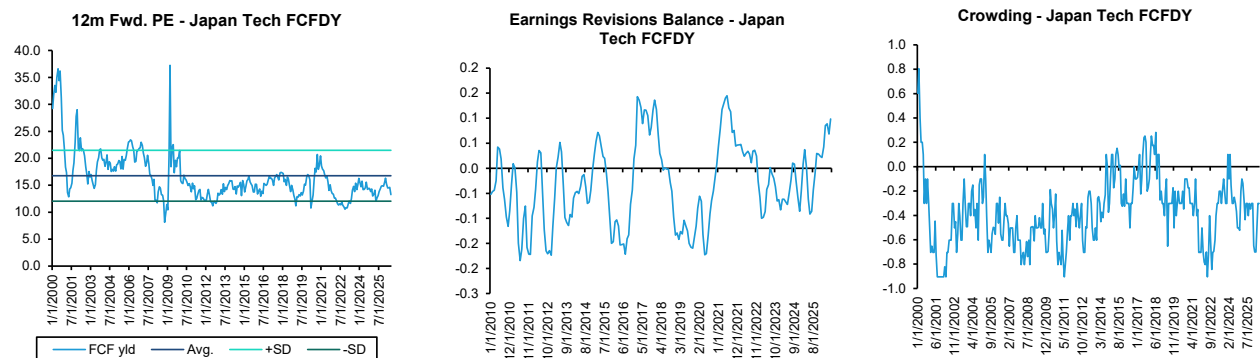
EXHIBIT 14: Japan tech growth and GARP portfolios have been in a de-rating cycle and parts of the growth trade are now cheap. Overall, all growth portfolios have been showing very strong earning upgrades trend



Data till Jun 30th 2026

Source: IBES, MSCI, FactSet, Bernstein analysis

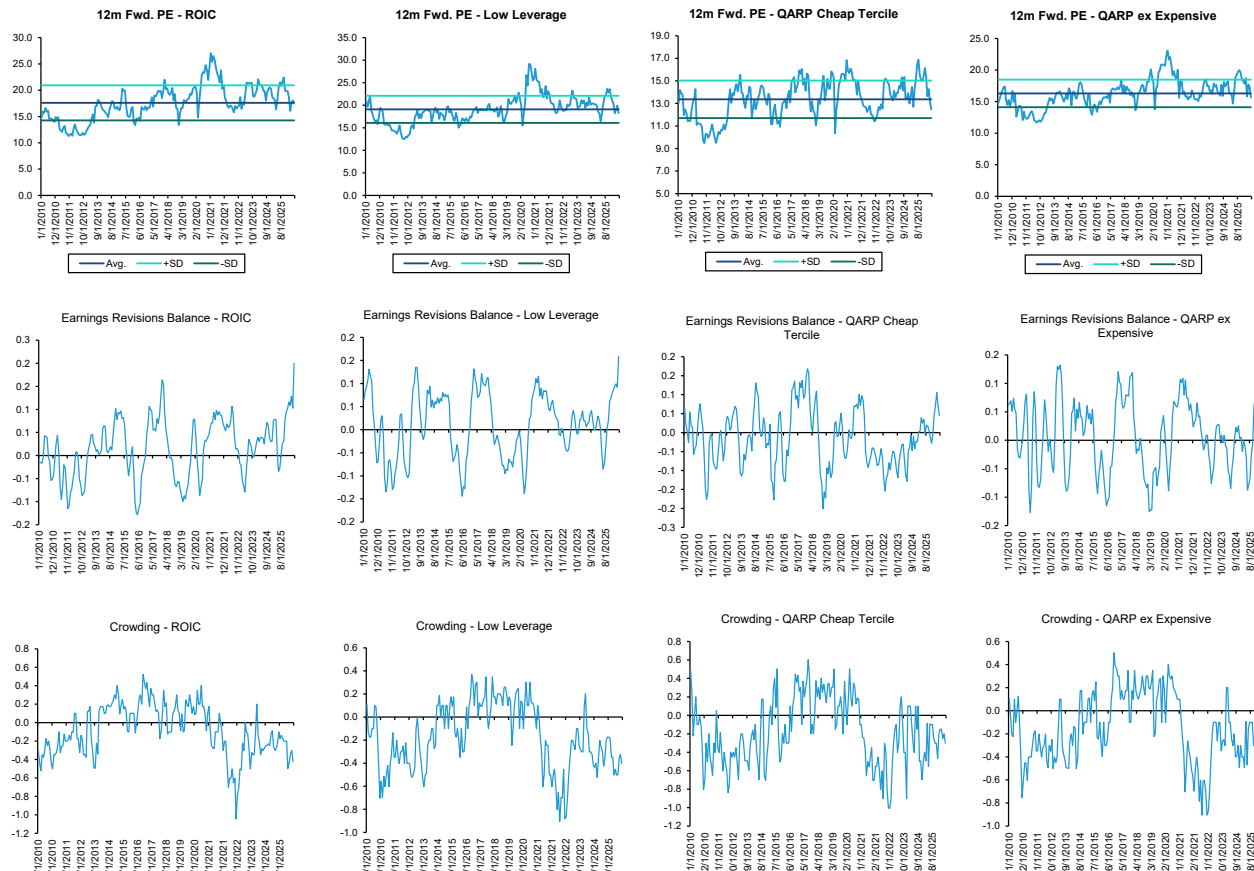
EXHIBIT 15: High yielding stocks have historically worked well within Japan tech over the long-term. The portfolio is undervalued, seeing strong earnings supports with renowned investor interests - we believe these names can continue to do well



Data till Jun 30th 2026

Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 16: Japan tech quality and QARP portfolios have also been in a de-rating cycle and now trading below the mean. Earnings revisions have continued to trend upward, reaching historical high. However, QARP cheap tercile is already seeing weakness in earnings upgrades.



Data till Jun 30th 2026

Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 17: Bernstein covered Japan tech names with factor rankings

GICSINDNAME	SEDOL	CO_NAME	Mcap (USD mn)	12m Fwd. PE	PEF_10yr _zscore	GARP	QARP	Value	FCF yld	Div. yield	Growth	ROIC	Low Vol	Momentum	Global Crowding Deciles (1= Most Crowded, 10=Least Crowded)	EPS 6m momentum	Bernstein rating
Electronic Equipment, Instruments & Components	649099	KEYENCE CORP	121,301	36x	-0.4	0	0	3	2	3	2	2	2	2	10	15%	O
Electronic Equipment, Instruments & Components	645610	IBIDEN CO	41,281	62x	-4.0	1	0	3	3	3	1	2	3	1	1	40%	O
Entertainment	663955	NINTENDO CO	53,977	18x	-0.6	0	1	1	2	1	3	1	1	3	10	-2%	O
Entertainment	649668	KONAMI GROUP CORP	15,597	19x	-0.6	0	0	2	2	2	2	1	2	3	6	17%	O
Entertainment	617369	CAPCOM CO	9,878	18x	-0.7	0	1	2	3	2	2	1	1	3	7	11%	O
Entertainment	682150	SONY GROUP CORP	124,112	15x	-0.6	0	0	3	1	3	2	2	2	3	6	5%	M
Entertainment	630926	SQUARE ENIX HOLDINGS CO	5,451	23x	0.5	0	0	2	1	2	2	2	1	3	7	20%	M
Entertainment	80JDQD	BANDAI NAMCO HOLDINGS	15,134	16x	-1.1	0	1	2	1	2	3	1	1	3	8	7%	M
Factory Automation Equipment	635693	FANUC	44,457	32x	0.1	0	0	3	2	2	2	2	2	1	4	16%	O
Factory Automation Equipment	676396	SMC CORP	28,012	23x	-0.2	0	0	2	3	2	3	2	2	2	7	14%	O
Factory Automation Equipment	610817	HARMONIC DRIVE SYSTEMS	4,617	89x	-0.2	1	0	3	3	3	1	3	3	1	4	212%	O
Semiconductors & Semiconductor Equipment	650626	LASERTEC CORP	28,833	48x	0.4	0	0	3	2	3	2	1	3	1	6	4%	O
Semiconductors & Semiconductor Equipment	644150	HOYA CORP	54,034	30x	0.2	0	0	3	2	3	2	1	2	2	2	16%	O
Semiconductors & Semiconductor Equipment	689567	TOKYO ELECTRON	223,882	39x	2.5	1	0	3	3	2	1	1	3	1	7	38%	O
Semiconductors & Semiconductor Equipment	627094	DISCO CORP	54,237	42x	1.4	1	0	3	3	3	1	1	3	1	5	34%	O
Semiconductors & Semiconductor Equipment	663567	RENESAS ELECTRONICS CORP	55,327	21x	0.1	1	0	3	2	3	1	3	3	1	6	34%	O
Semiconductors & Semiconductor Equipment	687049	ADVANTEST CORP	145,657	38x	0.9	1	0	3	3	3	1	1	3	1	5	68%	O
Semiconductors & Semiconductor Equipment	BNGHNG	KOKUSAI ELECTRIC	15,904	40x	0.1	1	0	3	3	3	1	2	3	1	3	50%	O
Semiconductors & Semiconductor Equipment	B0M0C8	SUMCO	8,681	89x	2.3	1	0	3	3	3	1	3	3	1	8	-29%	M
Semiconductors & Semiconductor Equipment	625102	SCREEN HOLDINGS CO	20,898	25x	2.6	0	0	2	2	2	2	1	3	1	5	-37%	M
Semiconductors & Semiconductor Equipment	BMGYJO	KIOXIA HOLDINGS	301,326	8x	-1.7	1	0	3	3	3	1	1	3	1	4	1417%	U

Data as of Jun 30th 2026. For factor ranking, 1- highest, 3- lowest; For low vol, 1-lowest, 3-highest. Analyst Ratings: O= Outperform, M=Market-Perform (Bernstein Brand)/N=Neutral (Autonomous Brand), U = Underperform rating. Further details of the research and important disclosures of the above covered securities are available on the Bernstein Research website: <https://bernstein-autonomous.bluematrix.com/sellside/Dislosures.action>

Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 18: **Japan tech - selectively follow the trend, where EPS momentum is improving**

GICSINDNAME	SEDOL	CO_NAME	Mcap (USD mn)	12m Fwd. PE	PS	PE_10yr_z score	PS_10yr_z score	EPS 6m momentum	EPS 12m momentum	Bernstein rating
Factory Automation Equipment	635693	FANUC	44,457	32x	8.0x	0.1	1.0	16%	13%	O
Factory Automation Equipment	610817	HARMONIC DRIVE SYSTEMS	4,617	89x	12.4x	-0.2	0.6	212%	76%	O
Semiconductors & Semiconductor Equipment	BNGHNG	KOKUSAI ELECTRIC	15,904	40x	10.8x	0.1	6.9	50%	15%	O
Semiconductors & Semiconductor Equipment	689567	TOKYO ELECTRON	223,882	39x	14.4x	2.5	4.8	38%	13%	O
Semiconductors & Semiconductor Equipment	627094	DISCO CORP	54,237	42x	20.2x	1.4	2.6	34%	25%	O
Semiconductors & Semiconductor Equipment	663567	RENESAS ELECTRONICS CORP	55,327	21x	6.3x	0.1	4.5	34%	8%	O
Factory Automation Equipment	698604	YASKAWA ELECTRIC CORP	11,531	32x	3.4x	0.1	1.6	28%	12%	
Factory Automation Equipment	616005	CKD CORP	3,121	23x	3.2x	0.5	4.7	49%	17%	
Factory Automation Equipment	686913	THK CO	5,366	24x	3.6x	0.4	4.9	119%	44%	
Semiconductors & Semiconductor Equipment	BW4F6F	RS TECHNOLOGIES CO	1,190	16x	2.5x	0.2	-0.1	13%	4%	
Semiconductors & Semiconductor Equipment	689430	TOKYO SEIMITSU CO	5,237	24x	4.9x	2.4	3.9	24%	6%	
Semiconductors & Semiconductor Equipment	687866	TOWA CORP	1,545	25x	4.6x	0.3	1.4	24%	19%	
Semiconductors & Semiconductor Equipment	635427	FERROTEC CORPORATION	2,763	16x	1.5x	1.4	2.4	24%	9%	
Semiconductors & Semiconductor Equipment	656730	MICRONICS JAPAN CO	4,098	26x	8.4x	1.0	3.5	95%	46%	
Semiconductors & Semiconductor Equipment	609665	RORZE CORP	5,253	25x	6.5x	2.9	3.6	18%	10%	
Electronic Equipment, Instruments & Components	604410	ANRITSU CORP	3,675	31x	4.8x	0.5	3.4	24%	18%	
Electronic Equipment, Instruments & Components	663854	NICHICON CORP	1,787	30x	1.6x	0.2	5.3	35%	21%	
Electronic Equipment, Instruments & Components	665768	OKI ELECTRIC INDUSTRY CO	1,876	15x	0.7x	0.7	4.6	13%	5%	
Electronic Equipment, Instruments & Components	686930	TDK CORP	42,699	25x	2.7x	2.4	3.6	12%	10%	
Electronic Equipment, Instruments & Components	643794	HORIBA	7,123	21x	3.3x	1.9	4.6	22%	13%	
Electronic Equipment, Instruments & Components	657066	MARUWA CO LTD	5,390	31x	11.7x	2.4	3.0	28%	5%	
Electronic Equipment, Instruments & Components	642844	HIOKI E E CORP	1,051	20x	3.9x	0.3	1.9	37%	11%	
Electronic Equipment, Instruments & Components	BVVQ8X	MACNICA HOLDINGS	3,464	14x	0.5x	1.2	2.3	17%	5%	

Data till Jun 30th 2026. Valuation zscore above +1.5 SD and below -1.5 SD are highlighted in red and green respectively. Analyst Ratings: O= Outperform, M=Market-Perform (Bernstein Brand)/N=Neutral (Autonomous Brand), U = Underperform rating. Further details of the research and important disclosures of the above covered securities are available on the Bernstein Research website: <https://bernstein-autonomous.bluematrix.com/sellside/Dislosures.action>
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 19: **Japan tech laggard - Add cheap/high yield names**

GICSINDNAME	SEDOL	CO_NAME	Mcap (USD mn)	12m Fwd. PE	PS	PE_10yr_z score	PS_10yr_z score	EPS 6m momentum	EPS 12m momentum	Bernstein rating
Entertainment	663955	NINTENDO CO	53,977	18x	3.4x	-0.6	-1.0	-2%	5%	O
Factory Automation Equipment	686913	THK CO	5,366	24x	3.6x	0.4	4.9	119%	44%	
Entertainment	625313	DAIICHIKOSHO CO	1,095	13x	1.1x	-0.3	-1.6	2%	1%	
Software	BHHDV3	WINGARC1ST	505	10x	2.6x	-4.8	-1.7	10%	0%	
IT Services	664268	BIPROGY	2,599	12x	1.0x	-2.3	-0.3	8%	-1%	
IT Services	B2Q4CR	TIS	4,451	11x	1.2x	-2.3	-0.4	8%	5%	
IT Services	625569	DTS CORP	1,009	12x	1.2x	-1.5	-0.2	3%	-76%	
IT Services	663960	NIPPON SYSTEM DEV	1,304	13x	1.6x	-2.8	-1.3	4%	-4%	
Software	612528	TREND MICRO	5,186	19x	2.7x	-2.3	-2.3	9%	-18%	
IT Services	622158	FUTURE CORP	899	9x	1.8x	-2.4	-0.6	7%	-5%	
IT Services	654468	NS SOLUTIONS CORP	3,826	18x	1.6x	0.1	0.8	6%	-3%	
IT Services	626705	OTSUKA CORP	6,485	15x	0.8x	-2.4	-1.8	0%	-4%	
IT Services	B05MTT	TECHMATRIX CORPORATION	476	11x	1.0x	-2.3	-1.8	9%	-2%	
Software	654358	DIGITAL ARTS	322	12x	4.6x	-1.8	-1.5	36%	14%	
Electronic Equipment, Instruments & Components	642938	MAXELL	615	10x	0.6x	-0.3	0.1	7%	4%	
Electronic Equipment, Instruments & Components	602730	AMANO CORP	1,593	13x	1.4x	-1.5	-0.8	4%	-4%	
Technology Hardware, Storage & Peripherals	673822	RICOH CO	4,929	12x	0.3x	-0.5	-0.9	9%	-1%	
Technology Hardware, Storage & Peripherals	614650	BROTHER INDUSTRIES	5,822	13x	1.0x	0.5	1.6	17%	12%	
Technology Hardware, Storage & Peripherals	617232	CANON INC	34,032	10x	0.8x	-1.3	-0.9	1%	-6%	

Data till Jun 30th 2026. Valuation zscore above +1.5 SD and below -1.5 SD are highlighted in red and green respectively. Analyst Ratings: O= Outperform, M=Market-Perform (Bernstein Brand)/N=Neutral (Autonomous Brand), U = Underperform rating. Further details of the research and important disclosures of the above covered securities are available on the Bernstein Research website: <https://bernstein-autonomous.bluematrix.com/sellside/Dislosures.action>
Source: MSCI, FactSet, Bernstein analysis

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Underperform	SELL	13.1%	13.6%

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